

instead of to additions, endeavors to advance prices and the borrowing of money. Sound investment must be strictly confined to expanding industries and preferably to companies showing progressive qualities through research activities. It must necessarily include common stocks, since the supply of bonds and preferred stocks in such groups is very limited. To allow for future retrogression, the investor must set up amortization reserves out of his income and principal profits.

That this point of view reflects important truths underlying corporate affairs and investment experience cannot be denied. But whether—in the form stated or any approximation thereto—it supplies a sound and practicable pattern of investment is quite a different question. Some implications of this thesis may be noted:

1. Investments in growing industries and switches out of declining industries are to be made regardless of current prices. If a large percentage of stock owners followed this principle, the price of “good” stocks would advance sensationally, whereas unpromising stocks would fall to almost nothing—regardless of their earnings and assets. Neglect of the price factor in this theory must reflect the belief either that the price makes no difference or that, on the average, investors do not in fact have to pay too high a differential for good stocks. The first alternative is clearly untenable; the second is more than doubtful. The behavior of the market in the past decade already betrays the influence of this philosophy in the heavy premiums being paid for growth stocks. Its further extension might work havoc.

2. The method prescribed is not nearly so simple as it sounds, except on the side of avoidance. The investment accepted must meet both industry tests and a number of requirements applicable to the individual company; the holder must then be alert for the inevitable signs of impending decay and be ready to sell in spite of satisfactory earnings or—conversely—of an unsatisfactory market level.

This general method involves the dilemma that either the number of eligible growth industries is so restricted that any large concentration of investment therein becomes thoroughly impracticable, or else a generous bestowal of the accolade will result in many mistakes or prompt reversals. Mead and Grodinsky have had the courage to divide *all* industries into the expanding or the contracting category—listing 61 of the former and 50 of the latter. Certainly there must be many borderline cases; in fact we should imagine that a very large middle group would fall into the indecisive bracket and that confident statement would be restricted to, say, the top and bottom quartiles.

More serious is the possibility that growth will cease without adequate warning and before the investor can reap his reward. A striking tendency for trend to revise itself is found by comparing changes in the net earnings of industrial groups from 1926 to 1930 (or 1928–1930) with the further change to 1936. Data for such